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Duration	Fund A(SBI)	Fund B(UTI)	Fund C(Nippon)
AUM	142149	36746	12096
Tracking Difference	-0.14%	-0.14%	-0.1%
Average daily volume for March 2023 (NSE+BSE)	4.28 lakh	0.05 lakh	41.91 lakh

By analyzing these funds further, Fund C is the preferred choice, exhibiting the lowest tracking difference and the highest average daily volume.

But, why are we not only looking at Expense Ratio?

So, when choosing passive funds, many investors only look at the Expense Ratio because it measures the cost of managing the fund. But choosing the right passive fund isn't just about finding the cheapest one. Sure, a low expense ratio is important, but it's only part of the story.

The real key is tracking difference, which tells you how closely the fund mirrors its benchmark index.



Even if a fund has a slightly higher expense ratio, a low tracking difference means it's doing a great job of mimicking the index, and delivering similar returns.



On the other hand, a fund with a really low expense ratio might not be tracking the index as well, leading to bigger gaps in performance.